FINANCIAL DILIGENCE SUPPORT - RECORD 008

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-008

1. How the reported figures are assembled and where the process is weak

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. On the merits,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself. On the evidence,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed.

In the file,, capitalization decisions were documented at project level rather than at ticket level until the control change made in April 2026. In the event,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ. In this stream,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared. JE-25-0709 is a duplicate accrual of $27,315 posted on 2025-07-31. Taken alone,, freight for two shipments was accrued twice from two different source documents. On this duplicate accrual, no further procedures were considered necessary once the source document had been inspected. This duplicate accrual was prepared by M. Okonjo and approved by T. Vasquez. The duplicate reversed in December 2025; the periods either side are both misstated and were corrected in the analysis.

Taken alone,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. On the substance,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance. On the merits,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. On the record, the reviewer examined JE-24-0533, posted 2024-05-31 by M. Okonjo approved by T. Vasquez, for $120,000 and classified as a related-party entry. On its facts,, a flat monthly management fee to a founder-controlled entity was posted from a standing journal template. The reviewer reduced the add-back to the portion for which no continuing service was identified. On this related-party entry, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

By reference,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. By reference,, inventory quantities rest on perpetual records because the reviewer did not observe the June 2026 count and the count sheets were only partially made available. On reperformance,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. On the papers, a round-dollar entry of $75,000 appears as JE-24-0692 on 2024-06-30. Per the index,, an exactly round accrual for professional fees was posted without a vendor invoice or engagement letter attached. The subsequent invoice totalled a different amount, and the difference was corrected in the following month. For this round-dollar entry the preparer was M. Okonjo, approved by R. Calloway. On this round-dollar entry, the reviewer confirmed the counterparty is not a related party before accepting the document at face value.

2. Deployment and onboarding cost recovery

Onboarding cost per site is the operating metric that decides whether growth in this business is self-funding, so it is analysed on its own. Against the ledger,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. On inspection,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure.

On the merits, the reviewer tested travel and per diem within the field support bucket at $386,400 in FY2024, $512,800 in FY2025 and $468,300 for the trailing twelve months to June 2026. On the merits,, travel cost per site fell as regional crews replaced fly-in teams for the eastern accounts. The run-rate view is run-rate. For Travel and per diem, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. On Travel and per diem, a small residual difference remains and is reported rather than described as immaterial and omitted. On the balance, launch and onboarding includes first-site engineering support, classified mixed. In review,, engineering time spent

stabilizing a customer's first site declines as the product matures but has not disappeared. For first-site engineering support the measured amounts are $142,800 in FY2024, $96,400 in FY2025 and $118,600 for the trailing twelve months to June 2026. For First-site engineering support, the reviewer confirmed the amount does not also sit within the working capital peg. On First-site engineering support, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. Rework and refurbishment sits in hardware cost and moved from $96,800 to $218,400 and then to $142,600. On this point,, refurbishment of returned pilot units is a recurring activity, while the harness rework was campaign-driven. On Rework and refurbishment, the reviewer declined to net this item against another with an opposite direction in the same period. For Rework and refurbishment, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. The line is carried forward as mixed.

Scrap and yield loss sits in hardware cost and moved from $118,400 to $264,800 and then to $186,200. On the record,, scrap rose during the harness campaign and during the first production run of the second-generation chassis. On Scrap and yield loss, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Baseline scrap is run-rate; the reviewer isolated only the campaign excess and left the new-product learning curve in cost. The line is carried forward as mixed. On the papers, field support includes deployment crew wages, classified run-rate. Against the ledger,, crew headcount grew from eleven to nineteen as site volume increased, with two crews added in the final quarter. For deployment crew wages the measured amounts are $1,284,600 in FY2024, $1,846,200 in FY2025 and $2,142,900 for the trailing twelve months to June 2026. The part-period effect of the final two crews is annualized rather than treated as non-recurring. On Deployment crew wages, the reviewer declined to net this item against another with an opposite direction in the same period. By agreement, the reviewer tested rework campaign labour within the spares and warranty bucket at $0 in FY2024, $142,650 in FY2025 and $0 for the trailing twelve months to June 2026. On the documents,, the wrist-joint harness campaign in the third quarter of 2025 consumed crew hours outside normal service work. The run-rate view is one-time. The campaign is genuinely isolated; the supplier recovery is presented alongside it rather than separately. On Rework campaign labour, no further procedures were considered necessary once the source document had been inspected.

Facilities charged to production sits in allocated overhead and moved from $142,800 to $168,400 and then to $186,200. On the papers,, the production floor share of the Fremont facility is allocated on square footage and did not change. On Facilities charged to production, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. The Fremont rent abatement affects this line and is normalized on the adjustment schedule rather than here. The line is carried forward as run-rate. Per the index, on the same schedule, object storage and retention within the hosting bucket at $148,600 in FY2024, $236,400 in FY2025 and $312,800 for the trailing twelve months to June 2026. On this point,, retention was extended from ninety days to one year in mid-2025 at the request of two enterprise customers. The run-rate view is run-rate. Because the retention change is contractual, the higher cost persists and no normalization is available. On Object storage and retention, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. Per the index, the trend for subcontracted installation within the field support bucket at $214,800 in FY2024, $468,900 in FY2025 and $386,200 for the trailing twelve months to June 2026. On the substance,, subcontractors absorb peak installation demand and the mix between own crew and subcontract varies quarter to quarter. The run-rate view is mixed. No normalization is proposed because the mix is a capacity choice rather than a one-time event. On Subcontracted installation, the item is cross-referenced to the corresponding entry in the information request register.

Schedule 8.1 - Cost of delivery by line across three periods

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
Hosting	Fleet telemetry compute	684,300	1,142,800	1,386,400	Run-rate	Compute cost scales with active units and with telemetry reten
Hosting	Object storage and retention	148,600	236,400	312,800	Run-rate	Retention was extended from ninety days to one year in mid-202
Hosting	Data egress and interconnect	62,400	118,900	96,700	Run-rate	Egress fell after the 2026 hosting renegotiation

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
						moved traffic
Field support	Deployment crew wages	1,284,600	1,846,200	2,142,900	Run-rate	Crew headcount grew from eleven to nineteen as site volume inc
Field support	Travel and per diem	386,400	512,800	468,300	Run-rate	Travel cost per site fell as regional crews replaced fly-in te
Field support	Subcontracted installation	214,800	468,900	386,200	Mixed	Subcontractors absorb peak installation demand and the mix bet
Field support	Remote operations coverage	168,200	296,400	384,600	Run-rate	Overnight remote operations cover was introduced in 2025 for c
Spares and warranty	Warranty parts consumption	246,800	418,600	462,400	Run-rate	Consumption tracks installed base and the failure rate of the
Spares and warranty	Rework campaign labour	0	142,650	0	One-time	The wrist-joint harness campaign in the third quarter of 2025
Spares and warranty	Spares pool carrying cost	84,600	128,400	146,800	Run-rate	The spares pool was enlarged when the Kadence contract introdu
Freight and duty	Inbound freight on components	318,400	462,800	428,600	Run-rate	Inbound freight rates fell in 2026 after two ocean lanes were
Freight and duty	Outbound freight to sites	268,900	386,400	411,860	Run-rate	Outbound cost follows unit volume and the geographic spread of
Freight and duty	Customs duty and brokerage	142,600	218,400	246,900	Run-rate	Duty on imported drive assemblies increased when the supplier
Hardware cost	Chassis and drive assemblies	2,468,900	3,842,600	4,186,400	Run-rate	Unit cost fell about four per cent as volumes crossed the seco
Hardware cost	Sensor and vision modules	846,200	1,268,400	1,396,800	Run-rate	A supplier change in early 2026 lowered module cost but introd
Hardware cost	Scrap and yield loss	118,400	264,800	186,200	Mixed	Scrap rose during the harness campaign and during the first pr
Hardware cost	Rework and refurbishment	96,800	218,400	142,600	Mixed	Refurbishment of returned pilot units is a recurring activity,
Launch and onboarding	Layout simulation and design	168,400	286,900	342,800	Run-rate	Simulation work is now performed for every new site and is bil
Launch and onboarding	Operator training delivery	96,200	168,800	214,600	Run-rate	Training hours per site are stable; the increase follows site
Launch and onboarding	First-site engineering support	142,800	96,400	118,600	Mixed	Engineering time spent stabilizing a customer's first

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
						site dec
Launch and onboarding	Customer-specific integration build	214,600	342,800	286,400	Run-rate	Integration work with customer warehouse management systems is
Allocated overhead	Quality and test engineering	186,400	248,600	284,900	Run-rate	Test engineering supports both production and field diagnosis
Allocated overhead	Facilities charged to production	142,800	168,400	186,200	Run-rate	The production floor share of the Fremont facility is allocate
Allocated overhead	Depreciation on production tooling	96,400	142,600	168,800	Run-rate	Tooling additions for the second-generation chassis began depr

3. Normalizing the cost of delivery across the review period

Costs are grouped by the activity that drives them rather than by the account they were posted to, since the account mapping changed during the period. In this stream,, cash application is performed by the same person who maintains the customer master, which is what allowed an overpayment to be applied to a settled invoice. On the papers,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months.

At the cut-off, field support includes remote operations coverage, classified run-rate. Read narrowly,, overnight remote operations cover was introduced in 2025 for customers on the higher service tier. For remote operations coverage the measured amounts are $168,200 in FY2024, $296,400 in FY2025 and $384,600 for the trailing twelve months to June 2026. For Remote operations coverage, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. On Remote operations coverage, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On the evidence, the normalization work covers rework campaign labour within the spares and warranty bucket at $0 in FY2024, $142,650 in FY2025 and $0 for the trailing twelve months to June 2026. In the file,, the wrist-joint harness campaign in the third quarter of 2025 consumed crew hours outside normal service work. The run-rate view is one-time. The campaign is genuinely isolated; the supplier recovery is presented alongside it rather than separately. On Rework campaign labour, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. On the source, spares and warranty includes warranty parts consumption, classified run-rate. Per the workpaper,, consumption tracks installed base and the failure rate of the current chassis rather than any single event. For warranty parts consumption the measured amounts are $246,800 in FY2024, $418,600 in FY2025 and $462,400 for the trailing twelve months to June 2026. For Warranty parts consumption, the conclusion rests on a document produced by a third party rather than by the company. On Warranty parts consumption, the conclusion rests on a document produced by a third party rather than by the company.

At the cut-off, turning to chassis and drive assemblies within the hardware cost bucket at $2,468,900 in FY2024, $3,842,600 in FY2025 and $4,186,400 for the trailing twelve months to June 2026. On the papers,, unit cost fell about four per cent as volumes crossed the second price break with the contract manufacturer. The run-rate view is run-rate. The price break is contractual and already in trailing cost; no forward-looking benefit is claimed. On Chassis and drive assemblies, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. Against the ledger, the reviewer examined inbound freight on components within the freight and duty bucket at $318,400 in FY2024, $462,800 in FY2025 and $428,600 for the trailing twelve months to June 2026. In substance,, inbound freight rates fell in 2026 after two ocean lanes were consolidated with a single forwarder. The run-rate view is run-rate. The saving is realized rather than planned, and the trailing figure already reflects most of it. On Inbound freight on components, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. In the file, within cost of sales, fleet telemetry compute within the hosting bucket at $684,300 in FY2024, $1,142,800 in FY2025 and $1,386,400 for the trailing twelve months to June 2026. In the file,, compute cost scales with active units and with telemetry retention, both of which rose through the period. The run-rate view is run-rate. The

reviewer treats the whole line as run-rate other than the migration overlap already isolated on the adjustment schedule. On Fleet telemetry compute, the item was raised in the interim update and is carried forward unchanged into this file.

Scrap and yield loss sits in hardware cost and moved from $118,400 to $264,800 and then to $186,200. On testing,, scrap rose during the harness campaign and during the first production run of the second-generation chassis. On Scrap and yield loss, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. For Scrap and yield loss, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. The line is carried forward as mixed. Sensor and vision modules sits in hardware cost and moved from $846,200 to $1,268,400 and then to $1,396,800. Against the ledger,, a supplier change in early 2026 lowered module cost but introduced a qualification period with dual sourcing. On Sensor and vision modules, the reviewer confirmed the amount does not also sit within the working capital peg. Dual-source cost during qualification is short-lived but was not separately identified by management, so it stays in reported cost. The line is carried forward as run-rate. In substance, hardware cost includes rework and refurbishment, classified mixed. On the evidence,, refurbishment of returned pilot units is a recurring activity, while the harness rework was campaign-driven. For rework and refurbishment the measured amounts are $96,800 in FY2024, $218,400 in FY2025 and $142,600 for the trailing twelve months to June 2026. The two components were separated using work order types before any adjustment was proposed. On Rework and refurbishment, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file.

Schedule 8.2 - Contract register with commercial terms

Contract	Customer	Signed	Term (months)	Hardware ($)	Subscription ARR ($)	Deployment fee ($)
HC-2041	Asterion Logistics	2024-02-14	36	1,842,600	964,800	214,000
HC-2052	Crestline Fulfillment	2024-06-27	48	3,268,900	1,486,200	428,000
HC-2058	Dunbar Industrial	2024-07-19	12	284,700	132,000	0
HC-2063	Evergreen Warehousing	2024-09-05	36	2,104,300	1,128,400	268,500
HC-2074	Granite Peak Distribution	2025-01-16	36	2,746,100	1,312,700	386,000
HC-2081	Harborline Systems	2025-03-08	18	486,900	264,000	74,500
HC-2086	Kadence Industrial Holdings	2025-04-24	60	4,128,700	2,046,500	612,000
HC-2098	Northfield Grocers	2025-07-11	24	764,300	412,600	108,000
HC-2104	Oakhurst Parts Group	2025-08-29	30	1,142,800	596,400	158,500
HC-2115	Quarrybrook Fulfilment	2025-10-02	24	542,600	296,800	68,000
HC-2121	Redbank Distribution	2025-11-14	48	2,398,400	1,186,500	342,500
HC-2139	Umberland Freight	2026-03-13	24	618,200	342,700	92,000
HC-2144	Vantage Cold Storage	2026-04-07	36	1,368,700	704,500	186,500
HC-2150	Westbourne Grocery	2026-05-19	18	384,500	212,400	54,000
HC-2156	Yarrow Distribution Partners	2026-06-04	36	1,582,300	786,200	214,500
HC-2162	Zephyr Retail Logistics	2025-06-12	42	2,064,800	998,400	286,000
HC-2168	Ashcombe Beverage Distribution	2024-10-30	36	1,324,600	682,900	178,000
HC-2173	Brackenridge Supply	2025-02-06	30	1,046,700	548,300	142,500

4. Working capital carried in the contract base

The reviewer traced the working capital consequences of each sampled contract because the peg cannot be defended without knowing what causes the seasonality. On the papers,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. Taken alone,,

the reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment.

HC-2047 (Blue Mesa Components) runs 24 months from 2024-04-02. On the source,, across Blue Mesa Components, no further procedures were considered necessary once the source document had been inspected. A single line replenishment cell transfers on delivery, and the subscription and remote monitoring service are billed together but delivered continuously. Under Blue Mesa Components, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Blue Mesa Components carries contracted hardware of $612,400, annual subscription value of $348,000 and a deployment fee of $86,500 across the contracted term. No modifications; the customer exercised a renewal option in April 2026 on identical terms. Allocation was tested and the bundled monitoring service carried no separate observable price, so management used an expected cost plus margin approach. Per the register, Meridian Cold Chain contracted under HC-2092 on 2025-05-30. Against the ledger,, refrigerated environment units transfer on acceptance after a thermal validation period, with a subscription and a validation services obligation. A March 2026 amendment extended the validation period by six weeks at the customer's request without additional fee. Commercially Meridian Cold Chain carries contracted hardware of $1,486,200, annual subscription value of $742,800 and a deployment fee of $196,000 over 36 months. Revenue for the validation obligation was recognized before the extended validation completed; the cutoff test flagged the timing. Under Meridian Cold Chain, the explanation offered was plausible and was still corroborated against a document before being accepted. On the merits, the contract register lists HC-2144 with Vantage Cold Storage, signed 2026-04-07 for 36 months and carrying contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500. By reference,, across Vantage Cold Storage, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. Hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. No amendments; a change request for additional units was pending at the cut-off and had not been priced. The pending change request is disclosed as an open item because it may create variable consideration in the period after the cut-off. Under Vantage Cold Storage, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items.

Per the register, the obligation analysis covers HC-2063 with Evergreen Warehousing, signed 2024-09-05 for 36 months and carrying contracted hardware of $2,104,300, annual subscription value of $1,128,400 and a deployment fee of $268,500. Per the register,, two distribution centres take hardware on acceptance, share a single subscription measured by active units, and buy an onboarding package that includes operator training. A July 2025 amendment reduced the unit count by four following a layout change and issued a partial credit against the deployment fee. An overpayment received in March 2026 was applied to revenue rather than held as a customer credit, which testing identified as an unrecorded liability. Under Evergreen Warehousing, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. In the file, the obligation analysis covers HC-2058 with Dunbar Industrial, signed 2024-07-19 for 12 months and carrying contracted hardware of $284,700 and annual subscription value of $132,000 with no separate deployment fee. In review,, across Dunbar Industrial, the reviewer confirmed the amount does not also sit within the working capital peg. A short-term pilot with hardware supplied on a loan basis and a monthly platform fee; no deployment fee was charged. On Dunbar Industrial, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. For Dunbar Industrial, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. Under Dunbar Industrial, the conclusion is stated at the low end of the supportable range, as the file convention requires. On the record, Quarrybrook Fulfilment contracted under HC-2115 on 2025-10-02. On testing,, a single site with hardware, subscription and a light onboarding obligation delivered over four weeks. On Quarrybrook Fulfilment, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. Commercially Quarrybrook Fulfilment carries contracted hardware of $542,600, annual subscription value of $296,800 and a deployment fee of $68,000 over 24 months. No exceptions found; the contract was retested by a second preparer to confirm the testing approach reproduces. Under Quarrybrook Fulfilment, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given.

HC-2133 (Thornbury Wholesale) runs 30 months from 2026-02-20. On the source,, across Thornbury Wholesale, no projection was made from this item because it arises from a single identifiable event. Hardware, subscription and a training obligation delivered in three sessions across the first quarter of service. Under Thornbury Wholesale, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. Thornbury Wholesale

carries contracted hardware of $886,400, annual subscription value of $458,900 and a deployment fee of $118,500 across the contracted term. A May 2026 amendment added a fourth training session and a small fee increase. One training session had not been delivered at the cut-off but the full fee was recognized; the exception was quantified and posted. In the file, the reviewer's read of HC-2081 with Harborline Systems, signed 2025-03-08 for 18 months and carrying contracted hardware of $486,900, annual subscription value of $264,000 and a deployment fee of $74,500. On its facts,, a proof-of-concept converted to a production contract, with the original pilot fee credited against the first production invoice. The conversion in November 2025 was documented as a new contract rather than a modification, which changes how the credited pilot fee is treated. Pilot fees were recognized on invoice eleven weeks before the service window began, which the reviewer adjusted. Under Harborline Systems, the supporting document was produced after two requests and its late arrival is noted in the register. On the evidence, sample coverage extends to HC-2156 with Yarrow Distribution Partners, signed 2026-06-04 for 36 months and carrying contracted hardware of $1,582,300, annual subscription value of $786,200 and a deployment fee of $214,500. On the substance,, signed within the final month of the review period, with no revenue recognized by the cut-off and a deployment fee invoiced in advance. On Yarrow Distribution Partners, the item is cross-referenced to the corresponding entry in the information request register. For Yarrow Distribution Partners, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. Under Yarrow Distribution Partners, the item is retained in the file even though it does not change the conclusion, so the trail remains complete.

Schedule 8.3 - Unbilled receivables and deposits by milestone

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
HC-2052 / Crestline Fulfillment	Final handover signed	50,753	58,711	Completion of the stabilization window	2026-07	Trigger depends on a customer-controlled test
HC-2098 / Northfield Grocers	Operator training delivered	134,635	51,962	Elapsed time from go-live	2026-10	No risk identified; routine timing
HC-2069 / Fathom Mobility	Site survey accepted	205,880	50,274	Issue of the quarterly subscription invoice	2026-10	No risk identified; routine timing
HC-2127 / Saltmarsh Logistics	Layout simulation delivered	102,921	73,444	Customer sign-off on the milestone certificate	2026-08	Deposit exceeds work performed to date
HC-2115 / Quarrybrook Fulfilment	Operator training delivered	184,376	43,050	Completion of the stabilization window	2026-08	Ageing beyond ninety days without billing
HC-2104 / Oakhurst Parts Group	Site survey accepted	31,588	57,754	Delivery receipt countersigned at site	2026-09	Milestone certificate not yet countersigned
HC-2144 / Vantage Cold Storage	Operator training delivered	73,294	108,066	Delivery receipt countersigned at site	Awaiting sign-off	Ageing beyond ninety days without billing
HC-2098 / Northfield Grocers	Installation complete	47,301	62,927	Delivery receipt countersigned at site	2026-10	No risk identified; routine timing
HC-2156 / Yarrow Distribution Pa	Final handover signed	129,429	1,665	Completion of the stabilization window	2026-10	Milestone certificate not yet countersigned
HC-2098 / Northfield Grocers	Go-live confirmed	274,585	100,461	Elapsed time from go-live	Awaiting sign-off	Billing blocked pending an amendment
HC-2144 / Vantage Cold Storage	Layout simulation delivered	68,277	42,909	Issue of the quarterly subscription invoice	Awaiting sign-off	No risk identified; routine timing
HC-2109 / Pinecrest Retail Servi	Go-live confirmed	67,799	64,549	Customer sign-off on the milestone certificate	Awaiting sign-off	Milestone certificate not yet countersigned
HC-2063 / Evergreen Warehousing	Operator training delivered	186,163	89,135	Acceptance test certificate	2026-07	Milestone certificate not yet countersigned
HC-2098 / Northfield	Go-live confirmed	144,771	78,242	Completion of the stabilization	2026-08	Deposit exceeds work performed

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
Grocers				window		to date
HC-2086 / Kadence Industrial Hol	Layout simulation delivered	208,574	128,500	Delivery receipt countersigned at site	2026-10	Ageing beyond ninety days without billing
HC-2156 / Yarrow Distribution Pa	Go-live confirmed	41,498	117,525	Elapsed time from go-live	2026-07	Ageing beyond ninety days without billing
HC-2069 / Fathom Mobility	Installation complete	206,570	148,168	Delivery receipt countersigned at site	2026-09	Billing blocked pending an amendment
HC-2063 / Evergreen Warehousing	Go-live confirmed	19,464	135,477	Completion of the stabilization window	2026-10	Ageing beyond ninety days without billing
HC-2098 / Northfield Grocers	Hardware delivered to site	373,795	56,294	Completion of the stabilization window	Awaiting sign-off	Ageing beyond ninety days without billing
HC-2115 / Quarrybrook Fulfilment	Installation complete	231,422	27,191	Customer sign-off on the milestone certificate	2026-07	Ageing beyond ninety days without billing
HC-2098 / Northfield Grocers	Final handover signed	208,640	43,632	Acceptance test certificate	2026-07	Billing blocked pending an amendment
HC-2086 / Kadence Industrial Hol	Operator training delivered	238,748	4,440	Elapsed time from go-live	2026-08	Trigger depends on a customer-controlled test
HC-2121 / Redbank Distribution	Operator training delivered	87,885	98,063	Acceptance test certificate	2026-10	Trigger depends on a customer-controlled test
HC-2074 / Granite Peak Distribut	Go-live confirmed	369,985	33,983	Customer sign-off on the milestone certificate	Awaiting sign-off	No risk identified; routine timing
HC-2041 / Asterion Logistics	Final handover signed	195,759	50,560	Customer sign-off on the milestone certificate	Awaiting sign-off	Ageing beyond ninety days without billing
HC-2081 / Harborline Systems	Layout simulation delivered	55,164	12,394	Completion of the stabilization window	2026-08	Deposit exceeds work performed to date

5. Accrual completeness and cutoff testing

Each exception is stated with the document that fixes the service period, since that document rather than the invoice date decides the correct period. On this point,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. In sequence,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ.

As to the facts, for Sandhill Staffing the reviewer tested AP-4288 at $34,720, posted in October 2025. On a second read,, agency technician hours for the final week of September were invoiced late and no accrual was raised. The service period is September 2025 against an invoice dated 2025-10-14. For Sandhill Staffing in September 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. On Sandhill Staffing, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. On a second read, for Brightline Cloud the reviewer tested AP-4491 at $118,600, posted in December 2025. On the record,, the accrual reflects the metered usage report including the migration overlap period. The service period is December 2025 against an invoice dated 2026-01-02. For Brightline Cloud in December 2025, the period recorded matches the service period and no adjustment arises. On Brightline Cloud, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. On the record, for Ashgrove Facilities the reviewer tested AP-4371 at $12,840, posted in September 2025. Against the ledger,, cleaning and facilities charges are recurring and were accrued from the standing service schedule. The service period is September 2025 against an invoice dated 2025-10-03. For Ashgrove Facilities in September 2025, the period recorded matches the service period and no adjustment arises. On Ashgrove Facilities, no further procedures were considered necessary once the source document had been inspected.

In substance, for Wetherby Freight Services the reviewer tested AP-4672 at $38,460, posted in June 2026. On reperformance,, freight accrual now derives from shipping manifests, which resolved the duplication identified in 2025. The service period is June 2026 against an invoice dated 2026-07-03. For Wetherby Freight Services in June 2026, the period recorded matches the service period and no adjustment arises. On Wetherby Freight Services, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. AP-4644 relates to Corvid Metalworks and covers June 2026 at $64,800. Read narrowly,, the June receipt was accrued from the receiving log and agrees to the vendor statement. On Corvid Metalworks, the reviewer recorded that no comparable item was found in the two earlier periods examined. For Corvid Metalworks in June 2026, the period recorded matches the service period and no adjustment arises. The invoice is dated 2026-07-07 and the amount posted in June 2026. In sequence, for Corvid Metalworks the reviewer tested AP-4402 at $58,300, posted in December 2025. On this point,, the December goods receipt was accrued from the receiving log, which the reviewer confirmed is now the source for the accrual. The service period is December 2025 against an invoice dated 2026-01-08. For Corvid Metalworks in December 2025, the period recorded matches the service period and no adjustment arises. On Corvid Metalworks, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result.

In sequence, the sample carries AP-4611, Meridian Insurance Brokers, for $31,200 covering Annual policy and invoiced 2026-04-22. On this point,, a premium refund was credited to expense rather than deferred across the replacement policy term. The ledger records the cost in March 2026. For Meridian Insurance Brokers in Annual policy, the amount is in the right period but the wrong caption, and the reclassification was made in the analysis. On Meridian Insurance Brokers, the reviewer left the amount unchanged after review but strengthened the evidence reference. As matters stand, for Fremont Commercial Bank the reviewer tested AP-4312 at $24,600, posted in September 2025. In the file,, accrued interest agrees to the lender statement and to the amortization schedule. The service period is September 2025 against an invoice dated 2025-10-05. For Fremont Commercial Bank in September 2025, the period recorded matches the service period and no adjustment arises. On Fremont Commercial Bank, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. In detail, for Halloran Electrical the reviewer tested AP-4558 at $32,400, posted in April 2026. On inspection,, panel work completed in March was invoiced in April and not accrued; the work order supports the earlier period. The service period is March 2026 against an invoice dated 2026-04-14. For Halloran Electrical in March 2026, cost belonging to the earlier period was recorded later, so the earlier period is understated. On Halloran Electrical, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree.

6. Identifying obligations in the subscription, hardware and services model

Obligation identification follows FASB ASC Topic 606, and the reviewer read each contract in the sample rather than relying on the company's contract summary. In this stream,, every schedule ties from a named source system extract to the reported figure through individually identified differences. In the event,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified.

By agreement, sample coverage extends to HC-2162 with Zephyr Retail Logistics, signed 2025-06-12 for 42 months and carrying contracted hardware of $2,064,800, annual subscription value of $998,400 and a deployment fee of $286,000. In sequence,, four obligations including a hosted analytics module sold as an add-on with its own renewal cycle. On Zephyr Retail Logistics, a second preparer reperformed the arithmetic and reached the same figure to the dollar. For Zephyr Retail Logistics, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Under Zephyr Retail Logistics, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. HC-2144 (Vantage Cold Storage) runs 36 months from 2026-04-07. Taken alone,, hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. Under Vantage Cold Storage, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. Vantage Cold Storage carries contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500 across the contracted term. No amendments; a change request for additional units was pending at the cut-off and had not been priced. For Vantage Cold Storage, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. On testing, Northfield Grocers contracted under HC-2098 on 2025-07-11. On the merits,, two stores take a compact picking cell each, on a bundled monthly fee with no separate hardware invoice. The bundled structure was unchanged; a side letter in December 2025 added an early

termination right after month eighteen. Commercially Northfield Grocers carries contracted hardware of $764,300, annual subscription value of $412,600 and a deployment fee of $108,000 over 24 months. Because the fee is bundled, allocation depends entirely on estimated standalone selling prices; the estimate has not been refreshed since contract inception. Under Northfield Grocers, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction.

On the source, the reviewer read HC-2115 with Quarrybrook Fulfilment, signed 2025-10-02 for 24 months and carrying contracted hardware of $542,600, annual subscription value of $296,800 and a deployment fee of $68,000. By agreement,, a single site with hardware, subscription and a light onboarding obligation delivered over four weeks. On Quarrybrook Fulfilment, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. No exceptions found; the contract was retested by a second preparer to confirm the testing approach reproduces. Under Quarrybrook Fulfilment, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. HC-2127 (Saltmarsh Logistics) runs 36 months from 2026-01-09. Against the ledger,, two obligations only: hardware on acceptance and a subscription, with deployment performed by a channel partner under a separate agreement. Under Saltmarsh Logistics, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. Saltmarsh Logistics carries contracted hardware of $1,246,900, annual subscription value of $668,400 and a deployment fee of $174,000 across the contracted term. On Saltmarsh Logistics, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Testing confirmed the company is not the principal for the deployment work and records only the referral fee net, which the reviewer accepted. In this stream, Ashcombe Beverage Distribution contracted under HC-2168 on 2024-10-30. Per the workpaper,, hardware and subscription with a deployment obligation performed partly by the customer's engineering team under supervision. A September 2025 amendment reduced the supervision scope and refunded part of the deployment fee. Commercially Ashcombe Beverage Distribution carries contracted hardware of $1,324,600, annual subscription value of $682,900 and a deployment fee of $178,000 over 36 months. For Ashcombe Beverage Distribution, the amount was agreed to the underlying system extract without a residual difference. Under Ashcombe Beverage Distribution, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment.

HC-2052 (Crestline Fulfillment) runs 48 months from 2024-06-27. In substance,, four sites are contracted on a rolling schedule with hardware transferring site by site, a fleet subscription that steps up as each site goes live, and a deployment services obligation invoiced at milestones. Under Crestline Fulfillment, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Crestline Fulfillment carries contracted hardware of $3,268,900, annual subscription value of $1,486,200 and a deployment fee of $428,000 across the contracted term. Two amendments: an October 2024 change deferred the third site by two quarters, and a January 2026 change converted twelve leased units to purchased units. The site-by-site transfer dates were traced to acceptance certificates; one certificate is undated and the transfer date was taken from the installer's log. From the extract, Umberland Freight contracted under HC-2139 on 2026-03-13. On the evidence,, across Umberland Freight, the conclusion would change if the missing supporting document is later produced in a different form. A retrofit contract where existing customer equipment is integrated, so the hardware element is smaller and the services element larger than the population average. On Umberland Freight, the reviewer recorded that no comparable item was found in the two earlier periods examined. Commercially Umberland Freight carries contracted hardware of $618,200, annual subscription value of $342,700 and a deployment fee of $92,000 over 24 months. The delayed acceptance was correctly reflected, and the contract was retained in the sample as evidence that the acceptance control operates. Under Umberland Freight, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. HC-2058 (Dunbar Industrial) runs 12 months from 2024-07-19. On the merits,, across Dunbar Industrial, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. A short-term pilot with hardware supplied on a loan basis and a monthly platform fee; no deployment fee was charged. Under Dunbar Industrial, no projection was made from this item because it arises from a single identifiable event. Dunbar Industrial carries contracted hardware of $284,700 and annual subscription value of $132,000 with no separate deployment fee across the contracted term. The pilot lapsed in July 2025 without renewal following the customer's insolvency proceedings. Pilot revenue was recognized ratably, which the reviewer accepted; the receivable was subsequently written off.

Schedule 8.4 - Accrual cutoff test results

Voucher	Vendor	Invoice date	Service period	Amount ($)	Period recorded	Cutoff conclusion
AP-4182	Wetherby Freight Services	2025-10-06	September 2025	42,860	October 2025	Understated
AP-4207	Corvid Metalworks	2025-10-02	September 2025	71,640	October 2025	Understated
AP-4261	Brightline Cloud	2025-10-01	September 2025	96,400	September 2025	Correct
AP-4288	Sandhill Staffing	2025-10-14	September 2025	34,720	October 2025	Understated
AP-4344	Lattimer Legal LLP	2025-10-20	August-September 2025	50,000	September 2025	Estimate
AP-4371	Ashgrove Facilities	2025-10-03	September 2025	12,840	September 2025	Correct
AP-4402	Corvid Metalworks	2026-01-08	December 2025	58,300	December 2025	Correct
AP-4438	Wetherby Freight Services	2026-01-05	December 2025	27,315	December 2025	Overstated
AP-4465	Northline Customs Brokers	2026-01-12	December 2025	21,480	January 2026	Understated
AP-4491	Brightline Cloud	2026-01-02	December 2025	118,600	December 2025	Correct
AP-4558	Halloran Electrical	2026-04-14	March 2026	32,400	April 2026	Understated
AP-4611	Meridian Insurance Brokers	2026-04-22	Annual policy	31,200	March 2026	Reclassification
AP-4644	Corvid Metalworks	2026-07-07	June 2026	64,800	June 2026	Correct
AP-4672	Wetherby Freight Services	2026-07-03	June 2026	38,460	June 2026	Correct
AP-4698	Lattimer Legal LLP	2026-07-16	June 2026	68,400	June 2026	Estimate
AP-4721	Sandhill Staffing	2026-07-08	June 2026	22,180	July 2026	Understated
AP-4744	Ashgrove Facilities	2026-07-02	June 2026	14,620	June 2026	Correct

7. Adjustments identified in diligence

Several of the items below move earnings downward, and they are presented with the same evidence standard applied to the seller's upward items. On the balance,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025. In detail,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods.

On this point, management's workpaper presents ADJ-25, Insurance premium refund on the cancelled cargo policy, which deducts $31,200 against FY2024 on a non-recurring basis. In the event,, a cargo policy cancelled mid-term generated a premium refund credited to insurance expense, reducing reported cost in a period where coverage continued under a replacement policy. Support consists of the broker credit advice and the policy cancellation endorsement, and the item was put forward by diligence. Insurance premium refund on was accepted at $31,200: the endorsement and the replacement policy together show that coverage cost did not fall, only the accounting entry. On Insurance premium refund on, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. On the source, management proposed ADJ-32 at $120,000 for FY2024, described as management fee charged by the founder holding entity. On its facts,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. Management fee charged by was reduced at $74,000: the reviewer removed only the portion of the fee for which no continuing service was identified, and left the accounting support component in reported cost. Management fee charged by carries a recurrence judgment of normalization, and the supporting file is the intercompany invoice series and the services description in the shared services memorandum. On Management fee charged by, the reviewer left the amount unchanged after review but strengthened the evidence reference. ADJ-35 concerns foreign exchange loss on the ontario deployment payables and was raised by management as a normalization item. Read narrowly,, management treats translation losses on Canadian supplier balances as outside operating performance. On Foreign exchange loss on, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. Foreign exchange loss on is recorded as a add-back of $24,830 in FY2025, evidenced by the currency revaluation report and the two Canadian supplier invoices. Foreign exchange loss on was

rejected outright: the company buys deployment materials in Canadian dollars every quarter without hedging, so exchange movement is an ordinary feature of this cost base in both directions.

On inspection, the reviewer separately examined ADJ-31, Prepaid maintenance expensed on payment, which deducts $46,900 against FY2024 on a reclassification basis. In review,, a twenty-four month maintenance contract was expensed when paid, front-loading cost into 2024 and leaving later periods understated. Support consists of the vendor contract term, the payment advice and the prepaid schedule, and the item was put forward by diligence. Prepaid maintenance expensed on was accepted at $46,900 and the reason sits on the schedule itself. On Prepaid maintenance expensed on, no projection was made from this item because it arises from a single identifiable event. ADJ-12 concerns rent abatement on the fremont lease and was raised by diligence as a normalization item. On inspection,, a four-month abatement negotiated during the 2024 expansion reduced cash rent below the contractual level that continues after the abatement window. On Rent abatement on the, the amount was agreed to the underlying system extract without a residual difference. Rent abatement on the is recorded as a deduction of $62,400 in FY2024, evidenced by the lease amendment dated 2024-02-08 and the straight-line rent schedule. Rent abatement on the was accepted at $62,400: the amendment fixes the abated months and the schedule shows the step-up that follows, so the normalization is contractual rather than judgmental. On the substance, the reviewer separately examined ADJ-30, Relocation and immigration cost for two senior hires, which adds back $63,750 against Q1-2026 on a non-recurring basis. On testing,, two senior engineering hires carried relocation and immigration cost that management characterizes as a hiring event rather than an ongoing expense. Support consists of relocation vendor invoices and the two executed offer letters, and the item was put forward by management. Relocation and immigration cost was reduced at $41,500 and the reason sits on the schedule itself. On Relocation and immigration cost, the item was raised in the interim update and is carried forward unchanged into this file.

In this stream, the record contains ADJ-37, Annualization of the enterprise support team build, which deducts $168,000 against Q2-2026 on a run-rate basis. Taken alone,, six support engineers hired between March and June 2026 are present in the cost base for only part of the measured period, so trailing cost understates the committed run-rate. Support consists of the approved headcount plan, six signed offer letters and the payroll register, and the item was put forward by diligence. Annualization of the enterprise was accepted at $168,000 and the reason sits on the schedule itself. On Annualization of the enterprise, reperformance used the contractual rate rather than the rate management had applied. On a second read, the reviewer separately examined ADJ-29, Sales commission true-up on multi-year bookings, which deducts $109,400 against FY2025 on a normalization basis. On the papers,, commissions on multi-year subscription bookings were expensed when the cash was paid in the following quarter, leaving the period charge short of the bookings it relates to. Support consists of the commission plan, the bookings register and the commission accrual workpaper, and the item was put forward by diligence. Sales commission true-up on was accepted at $109,400: the bookings register and the plan terms together fix the amount earned in the period, and management accepted the recalculation. On Sales commission true-up on, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. ADJ-11 concerns founder salary normalization to market and was raised by management as a pro forma item. In sequence,, management proposes to hold founder compensation at its current below-market level on the argument that the founders will not renegotiate. On Founder salary normalization to, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. Founder salary normalization to is recorded as a deduction of $145,000 in LTM Jun-2026, evidenced by a compensation benchmark memorandum prepared by management's advisers. Founder salary normalization to was rejected outright: the reviewer will not build a deduction on an assumption about future negotiation; the more defensible treatment leaves reported compensation in place and flags the exposure.

In substance, diligence proposed ADJ-28 at $88,500 for FY2025, described as supplier recovery on the harness defect. In review,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of sales in the same year the scrap arose. Supplier recovery on the was accepted at $88,500: the reviewer paired the recovery with the scrap add-back so the campaign is presented on a net basis rather than only in the direction that helps. Supplier recovery on the carries a recurrence judgment of non-recurring, and the supporting file is the supplier settlement letter and the credit applied against open payables. On Supplier recovery on the, the conclusion would change if the missing supporting document is later produced in a different form. As matters stand, management's workpaper presents ADJ-05, Severance for the departed VP of Operations, which adds back $186,400 against FY2025 on a non-recurring basis. Read narrowly,, the separation payment was a single negotiated settlement and the role was refilled at a lower base salary in

November 2025. Support consists of the separation agreement and the payroll register for August and September 2025, and the item was put forward by management. Severance for the departed was accepted at $186,400: the agreement fixes both the amount and the payment dates, and the successor's offer letter supports the lower run-rate. On Severance for the departed, the item was projected across the population on the basis stated in the accompanying schedule. Read narrowly, a further item, ADJ-14, Bad debt write-off on the Dunbar Industrial receivable, which adds back $154,900 against FY2024 on a non-recurring basis. Per the index,, the customer entered an assignment for benefit of creditors in October 2024 and the balance was written off in full. Support consists of the write-off approval memorandum and the customer's bankruptcy notice, and the item was put forward by management. Bad debt write-off on was reduced at $118,400 and the reason sits on the schedule itself. On Bad debt write-off on, the reviewer asked for the underlying system report and worked from that rather than from the extract provided.

Schedule 8.5 - Headcount and committed cost by function

Function	Filled	Open	Annualized cost ($)	Vacancy effect ($)	Contractual commitment	Run-rate view
Engineering - platform	6	2	2,223,195	185,266	Two signed offers with start dates in the next quarter	Annualize excluding vacancies
Engineering - motion	12	2	3,180,572	151,455	Contractor cover in place pending a hire	Hold at current cost
Engineering - safety	3	5	3,492,244	727,550	Approved but not yet advertised	Annualize excluding vacancies
Engineering - test	26	4	868,929	38,619	One retained search in progress	Annualize excluding vacancies
Field deployment crews	4	5	1,118,268	207,086	No commitments beyond current staff	Annualize excluding vacancies
Field service	7	1	451,702	18,820	Two signed offers with start dates in the next quarter	Hold at current cost
Remote operations	22	5	555,216	34,272	Backfill required by contract	Hold at current cost
Supply chain	8	3	1,836,345	166,940	One retained search in progress	Annualize including signed offers
Manufacturing	14	4	1,391,716	103,090	Two signed offers with start dates in the next quarter	Annualize excluding vacancies
Quality	14	2	1,168,947	48,706	No commitments beyond current staff	Annualize including signed offers
Sales - enterprise	6	3	1,451,066	161,229	Contractor cover in place pending a hire	Annualize including signed offers
Sales - mid-market	22	5	1,883,171	116,245	Backfill required by contract	Annualize excluding vacancies
Sales operations	25	0	2,324,416	0	Backfill required by contract	Hold at current cost
Marketing	22	5	3,188,400	196,814	Two signed offers with start dates in the next quarter	Annualize excluding vacancies
Customer success	12	1	904,903	23,202	Approved but not yet advertised	Annualize excluding vacancies
Finance	21	0	1,363,721	0	Approved but not yet advertised	Annualize excluding vacancies
People and talent	12	3	2,406,006	160,400	One retained search in progress	Hold at current cost
Legal and compliance	10	2	3,635,021	201,945	One retained search in progress	Annualize including signed offers
IT and security	3	4	2,387,736	454,806	Two signed offers with start dates in	Hold at current cost

Function	Filled	Open	Annualized cost ($)	Vacancy effect ($)	Contractual commitment	Run-rate view
					the next quarter	
Executive	11	5	1,170,506	121,927	No commitments beyond current staff	Annualize excluding vacancies

8. Open items and outstanding information requests

The reviewer has not closed items on the basis of a verbal assurance; an item stays open until the document exists. By reference,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. Per the register,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value.

By agreement, the seller - controller holds IR-099, reconciliation of the fixed asset register to the ledger, requested 2026-07-03. By agreement,, depreciation in the earnings measure cannot be tied to the register, which limits the capital expenditure commentary. On reconciliation of the fixed, as at the date of this file nothing has been provided and the item is open. For reconciliation of the fixed, the reviewer notes that management agreed the facts while reserving its position on the treatment. In substance, the seller - credit control holds IR-049, customer credit and unapplied cash listing at 2026-06-30, requested 2026-06-24. From the extract,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. On customer credit and unapplied, as at the date of this file material was provided on 2026-07-03 and the item is closed. For customer credit and unapplied, the conclusion would change if the missing supporting document is later produced in a different form. IR-071 asks for aged unbilled receivable detail with billing triggers. The request for aged unbilled receivable detail was raised on 2026-06-29 with the seller - project accountant and nothing has been provided, leaving the item open. For aged unbilled receivable detail, a second preparer reperformed the arithmetic and reached the same figure to the dollar. In the file,, without billing triggers the reviewer cannot distinguish unbilled amounts awaiting a milestone from those awaiting customer sign-off.

Read narrowly, the information request log records IR-078, journal entry extract with preparer and approver fields, addressed to the seller - systems administrator and requested on 2026-06-30; material was provided on 2026-07-04. The status is recorded as closed. As to the facts,, the extract enabled the exception testing; approver fields are blank for a subset of entries, which is itself the finding. For journal entry extract with, the reviewer declined to net this item against another with an opposite direction in the same period. From the extract, outstanding is IR-052, bank statements for the ontario subsidiary for the full period, addressed to the seller - controller and requested on 2026-06-25; the response is partially received. The status is recorded as open. As to the facts,, two months are missing, so cash proof coverage for the subsidiary is below the level applied to the parent. For bank statements for the, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. In the file, the seller - counsel holds IR-019, retention agreements underpinning the larkspur earn-out, requested 2026-06-18. Per the register,, the split between fixed deferred consideration and retention-contingent amounts cannot be finalized, so part of the balance stays in a range. On retention agreements underpinning the, as at the date of this file the response is partially received and the item is open. For retention agreements underpinning the, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file.

IR-107 asks for detail of the fy2026 discretionary bonus by participant. The request for detail of the fy2026 was raised on 2026-07-06 with the seller - hr director and the response is partially received, leaving the item open. For detail of the fy2026, the item is presented gross so that a reader can rebuild the measure from reported results. Per the workpaper,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. On the documents, the seller - engineering manager holds IR-045, fixed asset additions traced to underlying engineering tickets, requested 2026-06-24. As to the facts,, the capitalization reclassification could change if further tickets support the treatment management applied. On fixed asset additions traced, as at the date of this file material was provided on 2026-07-06 and the item is received - under review. For fixed asset additions traced, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Per the workpaper, still unresolved is IR-067, supplier settlement letter for the harness rework recovery, addressed to the seller - procurement and requested on 2026-06-29; material was provided on 2026-07-02. The status is recorded as closed. Against the ledger,, the letter confirmed the

recovery amount and allowed the campaign to be presented on a net basis. For supplier settlement letter for, the item was traced from the summary schedule through the sub-ledger to the source document.

In review, the seller - commercial holds IR-103, change request pricing for the vantage additional units, requested 2026-07-06. Against the ledger,, variable consideration arising after the cut-off cannot be estimated, so the post-cut-off revenue trend is qualified. On change request pricing for, as at the date of this file nothing has been provided and the item is open. For change request pricing for, the item was selected for testing because of its characteristics rather than its size. IR-014 asks for signed acceptance certificate for crestline site three. The request for signed acceptance certificate for was raised on 2026-06-18 with the seller - deployment lead and nothing has been provided, leaving the item open. For signed acceptance certificate for, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. On its facts,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. On testing, the seller - tax adviser holds IR-023, state nexus opinion supporting no sales tax filings, requested 2026-06-19. In detail,, the exposure remains a range until the opinion's scope is compared with the states in which field staff worked. On state nexus opinion supporting, as at the date of this file material was provided on 2026-07-02 and the item is received - under review. For state nexus opinion supporting, the item is retained in the file even though it does not change the conclusion, so the trail remains complete.

Schedule 8.6 - Receivable, payable and inventory days by month

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
2024-01	4,252,122	1,616,144	40	56	71	55	Elevated by two late enterprise settlements
2024-02	4,312,108	1,677,985	59	32	103	130	Within the trailing average
2024-03	5,525,080	2,368,792	70	43	47	74	Within the trailing average
2024-04	6,369,718	1,446,709	53	62	84	75	Distorted by a single milestone invoice
2024-05	4,559,707	1,055,700	59	33	61	87	Within the trailing average
2024-06	3,184,525	1,408,149	60	47	55	68	Distorted by a single milestone invoice
2024-07	3,834,863	1,225,220	48	55	68	61	Inventory build ahead of a phase release
2024-08	6,385,699	1,221,920	54	45	108	117	Elevated by two late enterprise settlements
2024-09	6,025,865	2,250,670	58	55	115	118	Distorted by a single milestone invoice
2024-10	6,785,867	1,961,400	73	42	47	78	Elevated by two late enterprise settlements
2024-11	5,452,913	643,703	43	56	82	69	Within the trailing average
2024-12	4,814,557	2,252,146	65	38	71	98	Improved after the credit control change
2025-01	3,520,689	1,130,254	55	51	57	61	Elevated by two late enterprise settlements
2025-02	5,292,903	1,664,558	53	30	58	81	Distorted by a single milestone invoice

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
2025-03	6,327,407	2,027,345	42	51	118	109	Distorted by a single milestone invoice
2025-04	3,592,502	1,344,381	73	48	101	126	Improved after the credit control change
2025-05	4,066,127	2,206,013	46	38	58	66	Within the trailing average
2025-06	5,363,186	749,626	65	59	46	52	Improved after the credit control change
2025-07	3,335,411	2,376,535	55	46	78	87	Distorted by a single milestone invoice
2025-08	3,384,486	1,683,622	41	62	100	79	Payables stretched at the period end
2025-09	4,732,810	1,589,051	71	29	70	112	Within the trailing average
2025-10	4,145,578	733,377	48	40	113	121	Within the trailing average
2025-11	4,053,890	1,817,513	39	34	52	57	Distorted by a single milestone invoice
2025-12	6,692,218	2,011,324	67	37	50	80	Elevated by two late enterprise settlements
2026-01	6,486,599	2,176,102	38	40	58	56	Within the trailing average
2026-02	3,358,029	1,205,830	49	50	70	69	Elevated by two late enterprise settlements
2026-03	3,372,028	750,988	44	43	88	89	Elevated by two late enterprise settlements
2026-04	3,249,610	905,391	41	28	58	71	Payables stretched at the period end
2026-05	5,515,003	1,259,064	38	37	86	87	Distorted by a single milestone invoice
2026-06	6,077,715	639,767	63	46	105	122	Payables stretched at the period end

9. Scope limitations and matters the reviewer could not resolve

A diligence record is only useful if it is honest about its gaps, so the reviewer lists here every matter that could not be resolved within the fieldwork window. In substance,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. On testing,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins.

As to the facts,, capitalization decisions were documented at project level rather than at ticket level until the control change made in April 2026. On the source,, the chart of accounts was re-mapped in July 2025, and every trend presented here uses the later mapping applied retrospectively so that period comparisons are on a consistent basis. On the documents,, management represented that the spares pool is fully counted, although the count sheets provided cover only part of the pool. In the file, the seller - procurement holds IR-067, supplier settlement letter for the harness rework recovery, requested 2026-06-29. Read narrowly,, the letter confirmed the recovery amount and allowed the campaign to

be presented on a net basis. On supplier settlement letter for, as at the date of this file material was provided on 2026-07-02 and the item is closed. For supplier settlement letter for, the item is presented gross so that a reader can rebuild the measure from reported results.

Per the workpaper,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. As matters stand,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance. On inspection,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. On this point, the seller - company secretary holds IR-034, board minutes evidencing the december 2024 bonus decision, requested 2026-06-20. From the extract,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. On board minutes evidencing the, as at the date of this file material was provided on 2026-07-08 and the item is received - insufficient. For board minutes evidencing the, no further procedures were considered necessary once the source document had been inspected.

In detail,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. Per the workpaper,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. In review,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. In the event, the seller - systems administrator holds IR-078, journal entry extract with preparer and approver fields, requested 2026-06-30. On the evidence,, the extract enabled the exception testing; approver fields are blank for a subset of entries, which is itself the finding. On journal entry extract with, as at the date of this file material was provided on 2026-07-04 and the item is closed. For journal entry extract with, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly.

Per the workpaper,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. On a second read,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. Against the ledger,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. IR-063 asks for contractor conversion offer letters and prior agency rates. The request for contractor conversion offer letters was raised on 2026-06-26 with the seller - hr director and material was provided on 2026-07-07, leaving the item received - under review. For contractor conversion offer letters, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. As matters stand,, employer tax and benefit loading on the converted population is still being confirmed, which affects the size of the run-rate deduction.